



PROJECT REPORT



Report for Bank Loan

Goverdhan Dairy Farm

1. Project Introduction

Govardhan Dairy Farm is an initiative rooted in traditional values but designed with modern agricultural and animal husbandry practices. The goal is to establish a **commercially viable buffalo dairy farm** in Komeruapudi village, Sattenapalli Mandal, Guntur District of Andhra Pradesh. This region is agriculturally rich and has a strong dairy market ecosystem with proximity to urban centers like Guntur and Vijayawada.

The project focuses on the **production and sale of buffalo milk**, leveraging Murrah breed buffaloes known for their high yield and adaptability. With a scalable model and structured growth, this farm intends to become a dependable local milk supplier while maintaining animal welfare, hygiene, and product quality.

2. Project Objectives

- Establish a modern dairy unit with Murrah buffaloes using best practices in livestock management.
- Increase milk availability in local markets while ensuring affordability and hygiene.
- Generate rural employment and promote fodder cultivation among nearby farmers.
- Provide a replicable model for smallholder entrepreneurs.

3. Capacity Planning & Detailed Assumptions

The design of the dairy farm is based on phased expansion and conservative operational assumptions to ensure stability and scalability.

A. Livestock Plan

Year	Buffalo Count	Assumption
Year 1	7	Initial purchase
Year 2	8	1 additional buffalo
Year 3	9	1 additional buffalo
Year 4	10	1 additional buffalo
Year 5	11	1 additional buffalo

B. Milk Production Assumptions

- Breed: Murrah Buffalo (high-fat milk, 6–8% fat content)
- Milk Yield: 14 litres/day (average) per lactating animal
- Lactation Days per Year: 308 (adjusted for dry period and rest)
- Annual Yield per Buffalo: 4,312 litres (14 × 308)
- Total Yield in Year 1 (7 buffaloes): ~30,184 litres
- Yield increases with new additions annually

C. Key Operational Assumptions

Milking machines to improve hygiene and efficiency
Fodder sourced from local cultivators under long-term agreements
Borewell water supply to ensure 24×7 hydration
Use of chaff cutters to reduce feed wastage
Veterinary care under tie-up with local veterinary hospital
Staff: 1 caretaker + 1 assistant

4. Total Project Cost (Fixed Capital)

Component	Amount (INR)	Details
Purchase of 7 Buffaloes	₹ 5,60,000	₹80,000 each (including transport,
Shed Construction	₹ 2,40,000	Covered with sloped roof, 1,000 sq ft
Equipment & Machinery	₹ 1,80,000	Milking machine, chaff cutter, water pump, buckets
Total Capital Investment	₹ 10,00,000	—

5. Means of Finance

Source	Amount	Share (%)
Promoter's Contribution	2,00,000	20%
Term Loan from Bank	8,00,000	80%
Total	10,00,000	100%

The promoter's equity strengthens project ownership and ensures skin-in-the-game. Bank finance will be utilized solely for long-term capital creation.

6. Utilisation of Funds

Use of Funds	Amount (INR)	Purpose
Livestock	5,60,000	Initial herd establishment
Shed Construction	2,40,000	Animal housing and storage
Equipment & Borewell	1,80,000	Dairy operation tools
Total	10,00,000	—

7. Debt Service Coverage Ratio (DSCR)

The DSCR helps assess the project's ability to meet its loan obligations from its operational surplus (not revenue).

Calculation Formula:

$$\text{DSCR} = (\text{Net Profit} + \text{Depreciation} + \text{Interest}) / (\text{EMI Paid})$$

9. DSCR Interpretation & Analysis

Minimum Acceptable DSCR for banks is usually 1.25 – this project averages **15.45**, indicating **outstanding surplus capacity**.

Even in Year 1, the DSCR is well over 9, ensuring zero risk of default.

The high DSCR is due to low operating leverage, a conservative expense model, and phased herd expansion that aligns revenue growth with low capital outlay.

This creates a **low-risk, high-margin** business model with early positive cash flows.

10. Project Viability Outlook

This dairy farming project is a **low-debt, asset-backed** model with an assured and growing local market. With minimal reliance on external working capital and high interest coverage, the unit is structurally resilient and financially self-sustaining.

The steady herd expansion strategy and prudent fund utilisation avoid overburdening the farm with liabilities or operational complexities in the initial years.

Goverdhan Dairy Farm

Balance Sheet

(Amount in Rs.)

Particulars	Opening Balance	Year 1	Year 2	Year 3	Year 4	Year 5
Sources of funds						
Share Capital	-	2,00,000	2,00,000	2,00,000	2,00,000	2,00,000
Bank Loan		6,70,181	5,26,768	3,68,340	1,93,317	-29
Reserves and Surplus		18,39,753	41,46,000	70,08,471	1,06,08,231	1,52,10,926
Sub-Total	-	27,09,934	48,72,768	75,76,811	1,10,01,548	1,54,10,897
Deferred Tax Liability						
Grand Total - Liabilities	-	27,09,934	48,72,768	75,76,811	1,10,01,548	1,54,10,897
Application Of Funds						
Fixed Assets						
Tangible & Intangibles	-	9,25,000	8,55,625	7,91,453	7,32,094	6,77,187
Deferred Tax Asset (Net)						
Other Non Current Assets (Security Deposit)	-	0	0	0	0	0
Sub-Total	-	9,25,000	8,55,625	7,91,453	7,32,094	6,77,187
Current Assets, Loans And Advances						
Cash & Bank Balance	-	17,84,934	40,17,143	67,85,358	1,02,69,454	1,47,33,710
Trade Receivables	-	0	0	0	0	0
Other Current Assets	-	0	0	0	0	0
Closing Stock	-	0	0	0	0	0
Total Current Assets, Loans And Advances - (A)	-	17,84,934	40,17,143	67,85,358	1,02,69,454	1,47,33,710
Current Liabilities And Provisions						
Interest Payable	-	0	0	0	0	0
Short Term Borrowings	-	0	0	0	0	0
Sundry Creditors	-	0	0	0	0	0
Accrued Expenses & Other Current Liabilities	-	0	0	0	0	0
Tax Provision		0	0	0	0	0
Total Current Liabilities And Provisions - (B)	-	0	0	0	0	0
Net Current Assets (A - B)	-	17,84,934	40,17,143	67,85,358	1,02,69,454	1,47,33,710
Grand Total - Assets	-	27,09,934	48,72,768	75,76,811	1,10,01,548	1,54,10,897
Changes to Working Capital						
Current Assets (Net of Cash)	-	0	0	0	0	0
Current Liabilities	-	0	0	0	0	0
Net Working Capital (Net of Cash)	-	0	0	0	0	0
Working Capital Requirement	-	0	0	0	0	0
Total Liabilities minus Total Assets (Check)	-	0	0	0	0	0

Budgeted - Profit and Loss Statement

(Amount in Rs.)

Particulars / Year	Year 1	Year 2	Year 3	Year 4	Year 5	Total
<u>REVENUE</u>						
Revenue from Operations	64,68,000	75,02,880	87,03,341	1,03,04,756	1,24,85,242	4,54,64,219
Total Revenue - (A)	64,68,000	75,02,880	87,03,341	1,03,04,756	1,24,85,242	4,54,64,219
Less: -						
<u>Cost of Operations</u>						
Direct Cost	43,33,560	49,01,632	55,44,028	64,00,284	75,61,063	2,87,40,567
Total Direct Cost - (B)	43,33,560	49,01,632	55,44,028	64,00,284	75,61,063	2,87,40,567
Gross Profit - (C = A - B)	21,34,440	26,01,248	31,59,313	39,04,472	49,24,179	1,67,23,652
<i>Gross Profit %</i>	<i>33.00%</i>	<i>34.67%</i>	<i>36.30%</i>	<i>37.89%</i>	<i>39.44%</i>	<i>36.78%</i>
<u>Indirect Expenses</u>						
General Administration Exp.	32,340	36,764	41,776	48,432	57,432	2,16,744
Maintenance and Other Exp,	48,510	54,771	61,794	71,103	83,651	3,19,829
Contingency Expenses	64,680	73,528	83,552	96,865	1,14,864	4,33,489
Total Indirect Cost - (D)	1,45,530	1,65,063	1,87,122	2,16,400	2,55,947	9,70,062
EBITDA (C - D)	19,88,910	24,36,185	29,72,191	36,88,072	46,68,232	1,57,53,590
<i>EBITDA %</i>	<i>30.75%</i>	<i>32.47%</i>	<i>34.15%</i>	<i>35.79%</i>	<i>37.39%</i>	<i>34.65%</i>
Depreciation & Amortisation	75,000	69,375	64,172	59,359	54,907	3,22,813
Interest on Term Loan / CC	74,157	60,563	45,548	28,953	10,630	2,19,851
Net Profit	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695	1,52,10,926
<i>Net profit Ratio</i>	<i>28.44%</i>	<i>30.74%</i>	<i>32.89%</i>	<i>34.93%</i>	<i>36.87%</i>	<i>33.46%</i>
Provision for Tax						
PAT	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695	1,52,10,926
<i>PAT %</i>	<i>28.44%</i>	<i>30.74%</i>	<i>32.89%</i>	<i>34.93%</i>	<i>36.87%</i>	<i>33.46%</i>

Budgeted - Cash Flow Statements

(Amount in Rs.)

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
A. Cash Flow from Operating Activities					
Net Profit / (Loss) after Tax	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695
Add Back: - Adjustments for:					
Non cash adjustment					
Deferred Tax	0	0	0	0	0
Depreciation and Amortisation	75,000	69,375	64,172	59,359	54,907
Finance Costs + Borrowing cost	0	0	0	0	0
Non operating income	0	0	0	0	0
Provision For Tax	0	0	0	0	0
Operating Profit / (Loss) before Working Capital Changes	19,14,753	23,75,622	29,26,643	36,59,119	46,57,602
<u>Changes in Working Capital:</u>					
Trade Receivables	0	0	0	0	0
Other Current Assets	0	0	0	0	0
Closing stock	0	0	0	0	0
Tax Paid	0	0	0	0	0
Liabilities	0	0	0	0	0
Cash generated from operations - (A)	19,14,753	23,75,622	29,26,643	36,59,119	46,57,602
B. Cash Flow from Investing Activities					
Addition in Tangible Assets	-10,00,000	0	0	0	0
Addition in Intangible Assets	0	0	0	0	0
Other Non Current Assets (Security Deposit)	0	0	0	0	0
Other income	0	0	0	0	0
Net Cash Flow from / (used in) Investing Activities (B)	-10,00,000	0	0	0	0
C. Cash Flow from Financing Activities					
Proceeds from issue of Equity Shares to Founders	2,00,000	0	0	0	0
Proceeds from issue of Equity Shares to Investors	0	0	0	0	0
Proceeds/ (Repayment) of Long-term Borrowings	6,70,181	-1,43,413	-1,58,428	-1,75,023	-1,93,346
Finance Costs	0	0	0	0	0
Net Cash Flow from / (used in) Financing Activities (C)	8,70,181	-1,43,413	-1,58,428	-1,75,023	-1,93,346
Net Increase / (Decrease) in Cash and Cash Equivalents (A+B+C)	17,84,934	22,32,209	27,68,215	34,84,096	44,64,256
Cash and Cash Equivalents at the Beginning of the Year	0	17,84,934	40,17,143	67,85,358	1,02,69,454
Cash and Cash Equivalents at the End of the Year	17,84,934	40,17,143	67,85,358	1,02,69,454	1,47,33,710

Budget - Operating Cost

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5	Total
Total Direct Expenses	43,33,560	49,01,632	55,44,028	64,00,284	75,61,063	2,87,40,567
General and Administrative Expenses						
General Administration Exp.	32,340	36,764	41,776	48,432	57,432	2,16,744
Maintenance and Other Exp,	48,510	54,771	61,794	71,103	83,651	3,19,829
Contingency Expenses	64,680	73,528	83,552	96,865	1,14,864	4,33,489
Total General, Administrative & Selling Expenses	1,45,530	1,65,063	1,87,122	2,16,400	2,55,947	9,70,062
Finance Charges						
Interest on Term Loan	74,157	60,563	45,548	28,953	10,630	2,19,851
Interest on Cash Credit	-	-	-	-	-	-
Total Finance Charges	74,157	60,563	45,548	28,953	10,630	2,19,851

Summary of Loan Amortization

Particulars	Toatl EMIs Paid	Interest Amount	Principal Amount
Year 1	2,03,976	74,157	1,29,819
Year 2	2,03,976	60,563	1,43,413
Year 3	2,03,976	45,548	1,58,428
Year 4	2,03,976	28,953	1,75,023
Year 5	2,03,976	10,630	1,93,346
Total	10,19,880	2,19,851	8,00,029

Amortization of Loan

Amount of Term Loan	8,00,000
Rate of Interest Chargeable	0
Tenure of Loan (in Months)	60
EMI Frequency	Monthly
Equal Monthly Installment	16,998

Month No.	Opening Balance	Installment Paid	Interest Component	Principal Component	Closing Balance
1	8,00,000	16,998	6,667	10,331	7,89,669
2	7,89,669	16,998	6,581	10,417	7,79,252
3	7,79,252	16,998	6,494	10,504	7,68,748
4	7,68,748	16,998	6,406	10,592	7,58,156
5	7,58,156	16,998	6,318	10,680	7,47,476
6	7,47,476	16,998	6,229	10,769	7,36,707
7	7,36,707	16,998	6,139	10,859	7,25,848
8	7,25,848	16,998	6,049	10,949	7,14,899
9	7,14,899	16,998	5,957	11,041	7,03,858
10	7,03,858	16,998	5,865	11,133	6,92,725
11	6,92,725	16,998	5,773	11,225	6,81,500
12	6,81,500	16,998	5,679	11,319	6,70,181
13	6,70,181	16,998	5,585	11,413	6,58,768
14	6,58,768	16,998	5,490	11,508	6,47,260
15	6,47,260	16,998	5,394	11,604	6,35,656
16	6,35,656	16,998	5,297	11,701	6,23,955
17	6,23,955	16,998	5,200	11,798	6,12,157
18	6,12,157	16,998	5,101	11,897	6,00,260
19	6,00,260	16,998	5,002	11,996	5,88,264
20	5,88,264	16,998	4,902	12,096	5,76,168
21	5,76,168	16,998	4,801	12,197	5,63,971
22	5,63,971	16,998	4,700	12,298	5,51,673
23	5,51,673	16,998	4,597	12,401	5,39,272
24	5,39,272	16,998	4,494	12,504	5,26,768
25	5,26,768	16,998	4,390	12,608	5,14,160
26	5,14,160	16,998	4,285	12,713	5,01,447
27	5,01,447	16,998	4,179	12,819	4,88,628
28	4,88,628	16,998	4,072	12,926	4,75,702
29	4,75,702	16,998	3,964	13,034	4,62,668
30	4,62,668	16,998	3,856	13,142	4,49,526
31	4,49,526	16,998	3,746	13,252	4,36,274
32	4,36,274	16,998	3,636	13,362	4,22,912
33	4,22,912	16,998	3,524	13,474	4,09,438
34	4,09,438	16,998	3,412	13,586	3,95,852
35	3,95,852	16,998	3,299	13,699	3,82,153
36	3,82,153	16,998	3,185	13,813	3,68,340
37	3,68,340	16,998	3,070	13,928	3,54,412
38	3,54,412	16,998	2,953	14,045	3,40,367

39	3,40,367	16,998	2,836	14,162	3,26,205
40	3,26,205	16,998	2,718	14,280	3,11,925
41	3,11,925	16,998	2,599	14,399	2,97,526
42	2,97,526	16,998	2,479	14,519	2,83,007
43	2,83,007	16,998	2,358	14,640	2,68,367
44	2,68,367	16,998	2,236	14,762	2,53,605
45	2,53,605	16,998	2,113	14,885	2,38,720
46	2,38,720	16,998	1,989	15,009	2,23,711
47	2,23,711	16,998	1,864	15,134	2,08,577
48	2,08,577	16,998	1,738	15,260	1,93,317
49	1,93,317	16,998	1,611	15,387	1,77,930
50	1,77,930	16,998	1,483	15,515	1,62,415
51	1,62,415	16,998	1,353	15,645	1,46,770
52	1,46,770	16,998	1,223	15,775	1,30,995
53	1,30,995	16,998	1,092	15,906	1,15,089
54	1,15,089	16,998	959	16,039	99,050
55	99,050	16,998	825	16,173	82,877
56	82,877	16,998	691	16,307	66,570
57	66,570	16,998	555	16,443	50,127
58	50,127	16,998	418	16,580	33,547
59	33,547	16,998	280	16,718	16,829
60	16,829	16,998	140	16,858	-29
	Total	10,19,880	2,19,851	8,00,029	

Debt Service Credit Ratio

Calculation of Average DSCR

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
Net Profit after Tax	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695
Depreciation	75,000	69,375	64,172	59,359	54,907
Other Non Cash Expenses	-	-	-	-	-
Interest on Term Loan	74,157	60,563	45,548	28,953	10,630
Total Fund Available for Debt Servicing (A)	19,88,910	24,36,185	29,72,191	36,88,072	46,68,232
Term Loan Repayments	1,29,819	1,43,413	1,58,428	1,75,023	1,93,346
Interest on Term Loan	74,157	60,563	45,548	28,953	10,630
Total Debt Obligation (B)	2,03,976	2,03,976	2,03,976	2,03,976	2,03,976
Net DSCR (A/B)	9.75	11.94	14.57	18.08	22.89
Average Net DSCR	15.45				

Budgeted - Capital Expenditure

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
<u>Tangible Assets</u>					
Fixed Assets	10,00,000	-	-	-	-
Total - Tangible Assets	10,00,000	-	-	-	

Budgeted Depreciation Chart

Particulars	Fixed Assets	Total
Rate of Depreciation	8%	
Year 1		
Original Cost	-	-
Plus Additions	10,00,000	10,00,000
Less Depreciation	75,000	75,000
Written Down Value	9,25,000	9,25,000
Year 2		
Plus Additions	-	-
Less Depreciation	69,375	69,375
Written Down Value	8,55,625	8,55,625
Year 3		
Plus Additions	-	-
Less Depreciation	64,172	64,172
Written Down Value	7,91,453	7,91,453
Year 4		
Plus Additions	-	-
Less Depreciation	59,359	59,359
Written Down Value	7,32,094	7,32,094
Year 5		
Plus Additions	-	-
Less Depreciation	54,907	54,907
Written Down Value	6,77,187	6,77,187

Ratio Analysis of Results

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
Investment	-	2,00,000	2,00,000	2,00,000	2,00,000
	-	-	-	-	-
Book Value of Equity	27,09,934	48,72,768	75,76,811	1,10,01,548	1,54,10,897
	-	-	-	-	-
Revenue	64,68,000	75,02,880	87,03,341	1,03,04,756	1,24,85,242
	-	-	-	-	-
Gross Profit	19,88,910	24,36,185	29,72,191	36,88,072	46,68,232
	-	-	-	-	-
Net Profit (Profit Before Tax)	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695
	-	-	-	-	-
Profit After Tax	18,39,753	23,06,247	28,62,471	35,99,760	46,02,695
	-	-	-	-	-
Gross Profit Ratio	30.75%	32.47%	34.15%	35.79%	37.39%
	-	-	-	-	-
Net Profit Ratio	28.44%	30.74%	32.89%	34.93%	36.87%
	-	-	-	-	-
Return on Investment	67.89%	47.33%	37.78%	32.72%	29.87%